

# Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

## Top improvement

Open every profitability case with your own structure before asking for help: restate the objective, split profit into revenue (price × volume) and costs (COGS, labor, overhead), state a hypothesis about which bucket drives the decline, and say where you'd start. Here, the opening needed two interviewer assists before you engaged, while your later data work showed you can do the analysis.

## Rubric Scores

### Problem Structuring

needs work

#### What needs work

The candidate named a relevant set of coffee-chain cost categories and asked for a cost breakdown, but only after hints. There was no framework at the opening, the candidate asked for direction three times, and the profit = revenue − costs split appeared only after a Level 1 anchor and a direct prompt.

“hmm, I'm not sure. I don't really know where to start.”

“I'm stuck, sorry. Could you maybe point me at where to look?”

“Coffee beans, milk, cups. Rent. Staff wages. Maybe marketing? Do you have a cost breakdown?”

The objective was never restated and the structure was never tied to the CEO's decision. The first response treated the question as a guessing exercise.

“I'm not sure what you mean — do you want me to guess why profits went down?”

#### Missed opportunities

Turn 1, right after the prompt about the margin falling from 24% to 6% despite 15% revenue growth.

A great answer: “The goal is to find why margin fell 18 points while revenue grew, and how to reverse it. Profit is revenue minus costs. Revenue is volume × price. Costs split into COGS, labor, and overhead. Since revenue grew, my hypothesis is that costs rose faster than price, most likely input costs. So I'd start with costs as a share of revenue, then check whether menu prices kept pace. I'd also ask whether competitors are seeing the same squeeze.”

### Quantitative & Analytical Rigor

adequate

#### What went well

The candidate correctly converted the nested percentages into points of revenue and isolated beans' ~4.2-point contribution. The candidate then sanity-checked that this implies a ~40% bean increase.

“Beans were 25% of 42, so about 10.5 points. The other inputs were the other 75%, so 31.5 points.”

“And my earlier math showed beans went from about 10.5 points to 14.7, which is also about 40%. So that lines up.”

#### What needs work

The candidate first asserted a 15–20% price need without deriving it. When challenged, the candidate set up a proper equation and self-corrected to the ~38% full price increase, but only after the interviewer asked for the derivation.

“rough math, they'd need maybe 15-20% higher prices to cover it, which feels like a lot to ask customers at once.”

“So 58 divided by (1+x) equals 42 means 1+x is about 1.38 — a 38% price increase.”

“That's way more than my 15-20%, I was sloppy.”

The margin impact of a 10% price rise was understated because only COGS was rescaled. Labor and overhead dollars also shrink as a share of the larger revenue. Total costs of 94 points become ~85.5, so margin reaches ~14.5%, not 11%.

“A 10% price rise takes COGS to about 53 points, so margin goes from 6 to maybe 11.”

The break-even volume loss was asserted, never derived, and is the wrong quantity. It is the revenue break-even, not the profit break-even. If labor and overhead are fixed, unit contribution rises from 42 to 52, so volume could fall ~19% before profit drops below today's level.

“if a 10% price rise drives more than about 10% of volume away, they're worse off than before”

#### Missed opportunities

Turn 27, sizing the elasticity risk of a 10% price increase.

A great answer: "Today each \$100 of revenue carries \$58 of COGS and \$36 of largely fixed labor and overhead. After a 10% price rise, contribution per old \$100 of volume goes from \$42 to \$52. Profit stays at \$6 as long as  $52V - 36 = 6$ , so  $V = 0.81$ . Volume could fall about 19% before we're worse off, which is a reasonable cushion."

## Data & Exhibit Interpretation

strong

### What went well

The candidate read every cost line systematically and isolated COGS as the 16-point driver. The candidate reconciled it against the 18-point margin drop.

"COGS went up a lot — 42 to 58, so 16 points. Labor stayed flat at 22, overhead barely moved, 12 to 14. So almost all of the margin drop is COGS. That matches the 24 to 6 decline pretty closely."

The candidate asked what sits inside COGS and ultimately showed that non-bean inputs drive most of the increase. Under the interviewer's basis question, though, the candidate wavered, briefly entertained beans driving 10 of the 16 points, and handed the decision back rather than reasoning to a basis.

"Do you have a split of what's inside COGS? Like beans versus milk versus cups?"

"So both went up, but the non-bean stuff is the bigger chunk in absolute terms."

"Then beans would account for about 10 of the 16 points, which flips my answer. Which one is it?"

The candidate translated the cost data into the pass-through insight and proposed the right next data request: menu prices.

"What strikes me is if input costs rose 40% but COGS as a share of revenue rose from 42 to 58, that means they didn't pass it on. Did they raise menu prices at all over the two years?"

### Missed opportunities

Turn 19, after settling the basis, the candidate collapsed the finding to 'everything went up the same amount'.

A great answer: "So roughly 4 of the 16 points come from beans and about 12 from dairy, packaging, and food. That means a bean-only fix like hedging addresses only a quarter of the problem. Procurement has to cover all inputs."

## Business Judgment & Insight

adequate

### What needs work

The candidate proactively surfaced realistic risks (substitutes, competitor non-response, trade-down) and paired them with a matched-control pilot and a decision rule. The key ~10% volume-loss threshold, however, ignores that higher prices widen unit contribution, so it overstates the risk of the core recommendation.

"if a 10% price rise drives more than about 10% of volume away, they're worse off than before"

"I'd also watch whether customers trade down to cheaper drinks rather than leaving entirely, since mix shift could eat the gain quietly."

"If volume holds, roll it out; if it falls hard, lean more on the supplier and waste levers instead."

The candidate sensibly rejected a single 38% price shock in favor of a staged, store-tested increase combined with cost levers. However, the increase was framed as uniform, with no thought on which SKUs or locations have more pricing power.

"I'd recommend a staged price increase — maybe 8-10% to start, tested in a subset of the 200 stores"

"So no, not price alone. I'd also look at supplier contracts or hedging on beans, cheaper packaging, and maybe menu mix — pushing higher-margin items."

"I'd recommend a staged price increase — maybe 8-10% to start, tested in a subset of the 200 stores — paired with supplier renegotiation and waste reduction."

### Missed opportunities

Turn 25, choosing how to apply the price increase.

A great answer: "I'd concentrate the increase on specialty and premium drinks, where customers are less price-sensitive. I'd hold price on drip coffee, which is the item most exposed to the substitutes down the street."

## Creativity & Brainstorming

adequate

### What went well

The candidate included less obvious ideas: direct sourcing, own-brand packaging, and lifting ticket size instead of headline price.

"Longer-term, own-brand packaging or direct sourcing from growers."

### What needs work

The candidate generated a broad set of distinct levers spanning pricing, procurement, operations, and ticket size, but presented them as a flat list without a stated mini-structure. The only near-/longer-term split echoed the interviewer's prompt.

"Other levers: lock in longer-term bean contracts or hedge, consolidate suppliers for volume discounts, reformulate the costliest drinks, cut waste and spoilage in stores, and push loyalty or larger sizes to lift ticket size rather than headline price."

The levers were not explicitly ranked by size or speed of impact before moving to the recommendation.

*"So no, not price alone. I'd also look at supplier contracts or hedging on beans, cheaper packaging, and maybe menu mix — pushing higher-margin items."*

### Missed opportunities

Turn 25, when asked what else the client could do.

A great answer: "I'll group levers into three buckets: price (targeted increases, mix, size upsell), input cost (multi-supplier contracts across beans, dairy, and packaging, plus reformulation), and operations (waste, spoilage). Price is the biggest and fastest lever. Procurement comes second because non-bean inputs are about three-quarters of the COGS increase."

## Synthesis & Recommendation

adequate

### What went well

The CEO summary ties the root cause directly to the evidence: COGS points, flat labor and overhead, and unchanged prices against rising input costs.

*"For the CEO: the margin decline is almost entirely input cost inflation that was never passed through."*

The candidate committed to a recommendation and named both risks and next steps.

*"I'd recommend a staged price increase — maybe 8-10% to start, tested in a subset of the 200 stores — paired with supplier renegotiation and waste reduction."*

*"Next step would be an elasticity test in a few markets and a full bean sourcing review."*

### What needs work

The recommendation is not answer-first. It arrives after a lever list and a recap of the diagnosis, so the CEO hears the 'what to do' third.

*"Other levers: lock in longer-term bean contracts or hedge, consolidate suppliers for volume discounts, reformulate the costliest drinks, cut waste and spoilage in stores, and push loyalty or larger sizes to lift ticket size rather than headline price."*

The size of the prize was asserted rather than anchored in a derived figure. That leaves the payoff of the recommendation loosely supported.

*"That path gets margin into the low teens without a 38% shock."*

### Missed opportunities

Turn 25, delivering the CEO summary.

A great answer: "My recommendation is a staged, targeted price increase of about 10%, paired with renegotiated contracts across all inputs. Three reasons. First, COGS explains 16 of the 18 points lost. Second, input costs are up ~40% while menu prices are flat. Third, labor and overhead are already lean. A 10% increase alone takes margin to roughly 14–15%. The key risk is volume loss, so we pilot in 20 stores first."

## Communication & Delivery

adequate

### What needs work

The candidate communicated crisply in the analysis and close, narrating reasoning in short, followable steps. The opening, however, was hesitant and apologetic, with no structure narrated across five turns, which made the start hard to follow.

*"I'm stuck, sorry. Could you maybe point me at where to look?"*

*"Hmm. Revenue and costs, I guess? But I'm not sure what to do with that."*

*"So revenue grew 15% purely on volume, not price."*

*"If volume holds, roll it out; if it falls hard, lean more on the supplier and waste levers instead."*

There was little signposting or hypothesis-led phrasing. The candidate often reacted to data rather than stating what it expected to find.

*"Costs went up, I think? But I don't know which ones to look at."*

### Missed opportunities

Turn 13, before reading the cost data.

A great answer: "My hypothesis is that COGS is the driver, since a coffee chain is exposed to commodity prices. Let me check each line against that."

## Pushback, Composure & Case Leadership

adequate

### What needs work

The candidate was passive at the opening and needed a Level 1 anchor and a Level 2 narrowing hint before engaging. The framing branch was not solved independently.

*"I'm stuck, sorry. Could you maybe point me at where to look?"*

*"Costs went up, I think? But I don't know which ones to look at."*

When the 15–20% figure was challenged, the candidate owned the error, re-derived it explicitly, and updated the recommendation. When challenged on the basis of the 37.5%, though, the candidate flipped the conclusion and asked the interviewer to decide rather than reasoning it through.

“Then beans would account for about 10 of the 16 points, which flips my answer. Which one is it?”

“That’s way more than my 15-20%, I was sloppy.”

“So no, not price alone.”

Mid-case, the candidate drove the analysis by proactively requesting the decisive menu-price data. Elsewhere, the candidate repeatedly handed control back to the interviewer instead of proposing the next step.

“Should I think about whether they can do that, or are there other levers?”

“Did they raise menu prices at all over the two years?”

### Missed opportunities

Turn 17, interviewer asks whether the 37.5% is per unit of revenue or total dollars.

A great answer: “A 37.5% rise in input prices is a unit-cost change. Since menu prices are flat, revenue growth is pure volume, so cost per unit of revenue also rose 37.5%. My 11.8-point figure holds, and the check is that beans rising 40% gives the residual 4.2 points.”

## Model Answer

### Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

### Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

# Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:32

I'm not sure what you mean — do you want me to guess why profits went down?

Interviewer · 0:34

No guessing. I'd like you to walk me through how you would structure the problem to find the root cause. Take a minute if you need it, and feel free to ask me any clarifying questions first.

Candidate · 1:10

hmm, I'm not sure. I don't really know where to start.

Interviewer · 1:11

Take your time. The question on the table is how you would break this profit decline down to find its root cause, and you're welcome to ask me clarifying questions about the business first.

Candidate · 1:53

I'm stuck, sorry. Could you maybe point me at where to look?

Interviewer · 1:55

No need to apologize, but I can't give you the structure. Start with what profit is made of: when a margin falls, what are the basic pieces you would look at?

Candidate · 2:26

Hmm. Revenue and costs, I guess? But I'm not sure what to do with that.

Interviewer · 2:29

Okay, revenue and costs. Revenue grew 15% while margin fell sharply, so what does that tell you about where to look, and which part of costs would you want to break down first?

Candidate · 2:47

Costs went up, I think? But I don't know which ones to look at.

Interviewer · 2:49

That's a reasonable starting point. For a coffee chain, what are the main categories of costs you'd expect to see, and what data would you ask me for to break them down?

Candidate · 3:07

Coffee beans, milk, cups. Rent. Staff wages. Maybe marketing? Do you have a cost breakdown?

Interviewer · 3:10

Take a look and tell me what stands out to you. I'll come to that data shortly.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:56

COGS went up a lot — 42 to 58, so 16 points. Labor stayed flat at 22, overhead barely moved, 12 to 14. So almost all of the margin drop is COGS. That matches the 24 to 6 decline pretty closely.

Do you have a split of what's inside COGS? Like beans versus milk versus cups?

Interviewer · 3:59

Mm-hm. I'll hold the COGS split for just a moment, since I'd like to see you close that loop first. To your question on the data: Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 5:02

Let me try. Beans were 25% of 42, so about 10.5 points. The other inputs were the other 75%, so 31.5 points. Up 37.5% that's 31.5 times 1.375, which is about 43.3. So those went up about 11.8 points.

Total COGS went up 16 points, so beans account for the rest, about 4.2 points. That takes beans from 10.5 to roughly 14.7, so maybe 40% higher.

So both went up, but the non-bean stuff is the bigger chunk in absolute terms.

Interviewer · 5:04

One thing to separate before we go further. Your 31.5 to 43.3 comparison is built on points of revenue, and revenue itself grew over the period. Is the 37.5% a change in cost per unit of revenue, or a change in total dollars?

Candidate · 6:08

Hmm. I think I assumed it was per revenue, but it might be total dollars.

If it's total dollars, revenue grew 15% too, so as a share of revenue it'd be less than 37.5%. Roughly 1.375 divided by 1.15, about 1.2, so up 20% as a percent of revenue. That'd be 31.5 times 1.2, about 37.8, so only 6 points up instead of 11.8.

Then beans would account for about 10 of the 16 points, which flips my answer. Which one is it?

Interviewer · 6:10

The figure I have is that other input costs are up 37.5% over the past two years, which is a change in the cost itself. Your 31.5 and 10.5 are points of revenue, so decide which basis the 37.5% sits on and then carry that through. Once you've settled that, the bean price change is what would confirm your split. Would you like to ask for it? Raw coffee bean costs are up 40% over the past two years. That isn't something I have data on.

Candidate · 7:18

Okay, so it's the cost itself, not per revenue. Beans up 40%, other inputs up 37.5% — so basically everything they buy went up around the same amount.

And my earlier math showed beans went from about 10.5 points to 14.7, which is also about 40%. So that lines up.

What strikes me is if input costs rose 40% but COGS as a share of revenue rose from 42 to 58, that means they didn't pass it on. Did they raise menu prices at all over the two years?

Interviewer · 7:20

That's the question to ask. I'll give you the menu price data. Menu prices have not changed in two years.

Candidate · 8:44

So revenue grew 15% purely on volume, not price. They're selling more coffee at the same price while paying 40% more for inputs — so every extra cup is making them less money.

That explains the whole thing: labor and overhead held steady, so the margin drop is basically all unpassed-through input inflation.

The fix seems like raising prices. If COGS is 58 points and they need to get back toward 42, that's a big gap — rough math, they'd need maybe 15-20% higher prices to cover it, which feels like a lot to ask customers at once.

Should I think about whether they can do that, or are there other levers?

Interviewer · 8:46

Walk me through the 15-20% figure: how did you get there from 58 points back to 42? Then tell me which levers you'd consider, and whether you would pull price alone.

Candidate · 10:13

Let me redo it, I think I hand-waved. If prices go up  $x\%$  and volume holds, COGS dollars stay the same but revenue scales. So 58 divided by  $(1+x)$  equals 42 means  $1+x$  is about 1.38 — a 38% price increase. That's way more than my 15-20%, I was sloppy.

But they probably don't need to get all the way back to 24%. A 10% price rise takes COGS to about 53 points, so margin goes from 6 to maybe 11.

So no, not price alone. I'd also look at supplier contracts or hedging on beans, cheaper packaging, and maybe menu mix — pushing higher-margin items. But I'd want to know how price-sensitive their customers are before moving.

Interviewer · 10:15

Okay. Beyond those levers, what else could the client do, whether near-term or longer-term? Then pull it together into what you would tell the CEO. That isn't something I have data on.

Candidate · 11:46

Other levers: lock in longer-term bean contracts or hedge, consolidate suppliers for volume discounts, reformulate the costliest drinks, cut waste and spoilage in stores, and push loyalty or larger sizes to lift ticket size rather than headline price. Longer-term,

own-brand packaging or direct sourcing from growers.

For the CEO: the margin decline is almost entirely input cost inflation that was never passed through. COGS rose from 42 to 58 points of revenue while labor and overhead were flat, and menu prices haven't moved in two years even though beans are up 40% and other inputs 37.5%.

I'd recommend a staged price increase — maybe 8-10% to start, tested in a subset of the 200 stores — paired with supplier renegotiation and waste reduction. That path gets margin into the low teens without a 38% shock.

Risks: volume could drop if customers are price-sensitive, and competitors may not follow. Next step would be an elasticity test in a few markets and a full bean sourcing review.

Interviewer · 11:48

What's the biggest risk to that recommendation, and how would you test for it?

Candidate · 13:18

The biggest risk is demand elasticity — if a 10% price rise drives more than about 10% of volume away, they're worse off than before, and specialty coffee has cheap substitutes right on the same street.

I'd test it by piloting the increase in maybe 20 of the 200 stores for a couple of months, picking a mix of urban and suburban markets, and comparing transaction volume and revenue per store against matched control stores that keep old prices. That tells you the actual drop-off rather than guessing.

I'd also watch whether customers trade down to cheaper drinks rather than leaving entirely, since mix shift could eat the gain quietly.

If volume holds, roll it out; if it falls hard, lean more on the supplier and waste levers instead.

Interviewer · 13:20

That's our time. Thanks for working through this with me — your written report will follow.